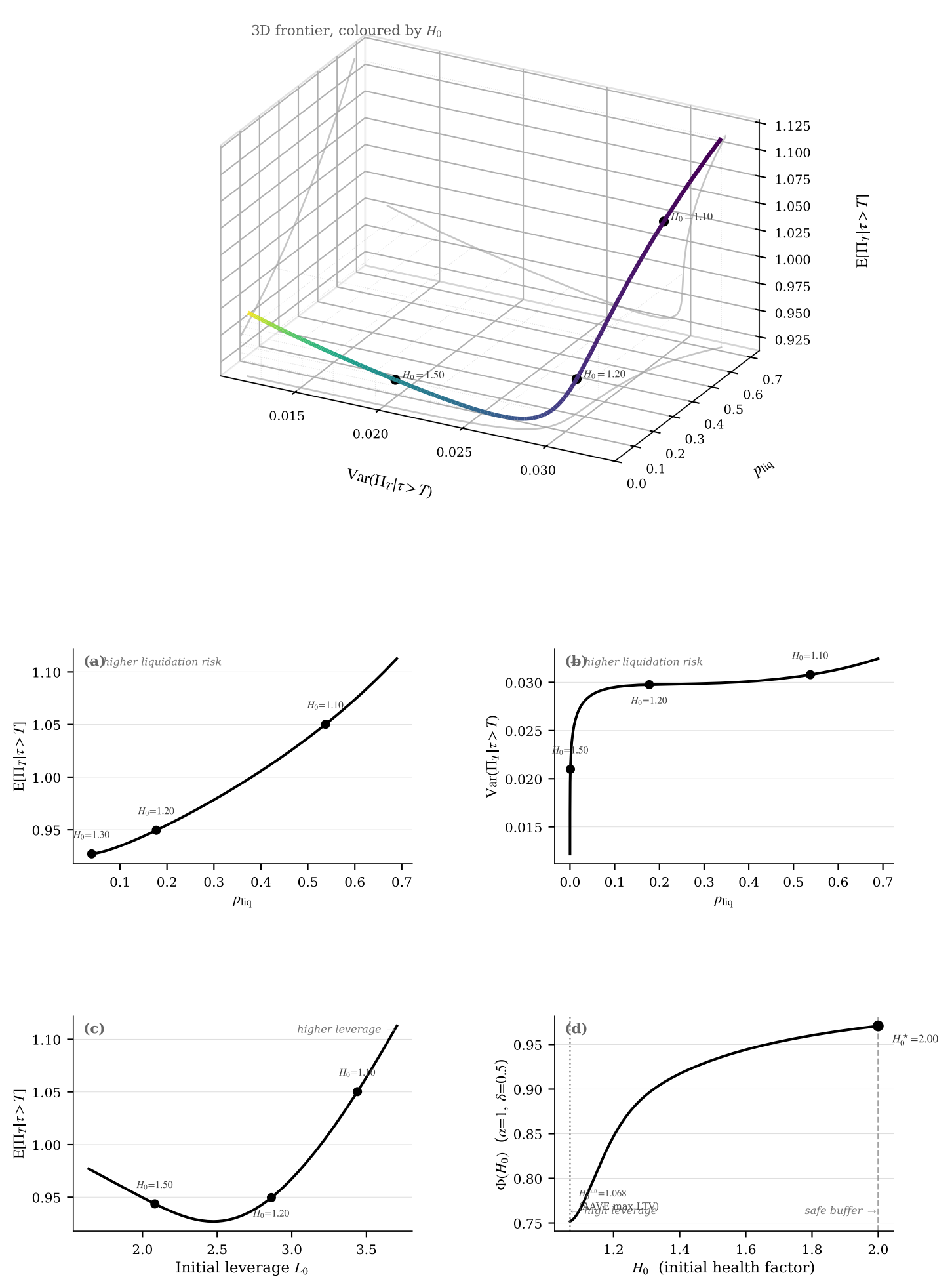

3D frontier, coloured by H_0
$H_0=1.10$
$H_0=1.20$
$H_0=1.50$
$\mathrm{E}[\Pi_T|\tau>T]$
$\mathrm{Var}(\Pi_T|\tau>T)$
p_{liq}
(a) higher liquidation risk
H_0=1.30
H_0=1.20
H_0=1.10
(b) higher liquidation risk
H_0=1.50
H_0=1.20
H_0=1.10
(c) higher leverage →
H_0=1.50
H_0=1.20
H_0=1.10
Initial leverage L_0
(d)
$H_0^{\star}$=2.00
$H_0^{\min}$=1.068
(AAVE max LTV)
← high leverage
safe buffer →
$\Phi(H_0)$ (α=1, δ=0.5)
H_0 (initial health factor)